IN THE NATIONAL COMPANY LAW TRIBUNAL NEW DELHI
BENCH AT NEW DELHI
C.P. (CAA) 48/ND/2021
connected with
CA (CAA)NO.86 (ND) OF 2020.
(Under Sec. 230 & 232 of the Companies Act, 2013 read with other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements & Amalgamations) Rules, 2016)

IN THE MATTER OF SCHEME OF AMALGAMATION OF:

M/s. Casper Consumer Electronics Private Limited
...Transferor Company No.1/Petitioner Company No.1

AND

M/s. Coalition Agency Private Limited
...Transferor Company No.2/Petitioner Company No.2

AND

M/s. Zip Minerals & Mining Private Limited
...Transferor Company No.3/Petitioner Company No.3

AND

M/s. Drastic Consultancy Services Private Limited
...Transferor Company No.4/Petitioner Company No.4

AND

M/s. Enthuse Power Private Limited
...Transferor Company No.6/Petitioner Company No.5.

AND

M/s. Feeder Iron & Steel Private Limited
...Transferor Company No.7/Petitioner Company No.6.

AND

M/s. Glossy Infotech Private Limited
...Transferor Company No.8/Petitioner Company No.7.

AND

M/s. Hamlet Power Private Limited

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...Transferor Company No.9/Petitioner Company No.8.

AND

M/s. Hunch Security Placement Private Limited
...Transferor Company No.10/ Petitioner Company No.9

AND

M/s. Luminous Cement Private Limited
...Transferor Company No.11/Petitioner Company No.10

AND

M/s. Mutual Placement Services Private Limited
...Transferor Company No.12/Petitioner Company No.11

AND

M/s. Pride Placement Services Private Limited
...Transferor Company No.13/Petitioner Company No.12

AND

M/s. Torsion Digital Networks Private Limited
...Transferor Company No.14/Petitioner Company No.13

AND

M/S. Triage Construction Private Limited
...Transferor Company No.15/Petitioner Company No.14

AND

M/S. Vertex Aluminium Private Limited
...Transferor Company No.16/Petitioner Company No.15

AND

M/S. Vital Tour & Travels Private Limited
...Transferor Company No.17/Petitioner Company No.16

AND

M/S. Wellington Transportation Private Limited
...Transferee Company/Petitioner Company No.17

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CORAM:

HON'BLE SHRI DHARMINDER SINGH, MEMBER, JUDICIAL

HON'BLE MS. SUMITA PURKAYASTHA, MEMBER, TECHNICAL

ORDER PRONOUNCED ON : 06/06/2022.

ORDER

PER: MS. SUMITA PURKAYASTHA, MEMBER (TECHNICAL)

1. This joint petition has been jointly filed by the Petitioner Companies on 21.12.2020 under the provisions of Sections 230 & 232 of the Companies Act, 2013 read with Rule 15(1) of the Companies (Compromise, Arrangements, Amalgamations) Rules, 2016 and the National Company Law Tribunal Rules, 2016 for the purpose of approving the proposed Scheme of Amalgamation (for brevity 'Scheme'), as contemplated between the Petitioner Companies and their respective shareholders. The copy of the Scheme has been placed on record.

2. The present petition has been filed jointly by the Transferor Company Nos.1 to 4 and 6 to 17 and Transferee Company (hereinafter together called the "Petitioner Companies"). It is represented that the registered office of the Petitioner Companies being situated in Delhi, therefore, lied with this Tribunal. The Registered office of the Transferor Company No. 5, Transferor Company No.18 and Transferor Company No. 19 are at Bhubaneshwar, hence outside the jurisdiction of this Tribunal.

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3. A perusal of the petition discloses that the first motion application bearing C.A. No. (CAA) No. 86 /ND/2020 was jointly filed by the Petitioner Companies. Based on the averments made in the said application the Tribunal vide order dated 04.12.2020 dispensed with the requirement of convening the meetings of the equity shareholders, secured creditors and unsecured creditors of the respective Petitioner Companies.

4. The appointed date as fixed for the proposed scheme of Amalgamation is April 01,2019 or such other date as may be approved by the National Company Law Tribunal or any other competent authority having power to sanction the scheme.

5. The petitioner companies were directed to issue individual notices to the (i) Regional Director, Ministry of Corporate Affairs, (ii) Registrar of Companies, NCT of Delhi and Haryana, (iii) Official Liquidator, Lok Nayak Bhavan, Delhi (iv) concerned income tax department. The Petitioner Companies have jointly filed an affidavit of service dated 21.12.2020 in compliance of the order dated 04.12.2020 affirming that notice of the proposed scheme of amalgamation along with all the annexures and copy of the order dated 04.12.2020 had been served on the Regional Director, Ministry of Corporate Affairs, Registrar of Companies, NCT of Delhi and Haryana, concerned Income-Tax Department and the Official Liquidator respectively.

6. The reply of the Regional Director and report of the official liquidator have been filed. The Regional Director, Ministry of Corporate Affairs in its report dated 09.05.2022 submitted that SFIO vide letter dated 08.02.2022 had informed that the Petitioner Companies are accused in the case of Bhushan Steel Limited and the prosecution is pending before the Hon'ble Special judge, Dwarka Court. Further, the Regional Director submits that on the basis of the comments furnished by the SFIO, the instant Petition filed by the Petitioner Companies may be rejected. The Official Liquidator in its reply dated 24.03.2022 to this Tribunal stated that SFIO vide its letter No. SFIO/Pros/0166/2019/I/23563/2021 has inter alia informed that a criminal complaint bearing No. 770/2019 was filed before the Hon'ble District & Session Judge, Dwarka, Delhi and also filed disgorgement proceedings (Company Petition No.170/241-242 (PB)/ 2021) before the Hon'ble National Company Law Tribunal, Principal Bench, New Delhi against the persons/ entities including all the Transferor Companies and Transferee Company as mentioned in the scheme of amalgamation/merger. Both the civil and the criminal proceedings initiated by Serious Fraud Investigation Office (SFIO) against the said Transferor Companies and Transferee Company are still pending before the respective forums. The above facts indicate that the affairs of the Petitioner Companies were being conducted in a manner prejudicial to the public interest and the respective companies. Hence Scheme of Amalgamation does not deserve to be approved/ sanctioned.

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7. The Income Tax department has not filed its reply. Be that as it may, in order to protect the interest of revenue, it is to be made clear that there shall be no impediment on the power and jurisdiction of the Income Tax Department in recovery of pending Income Tax dues, penalties etc., if any, as provided in the law.

8. The certificate of the statutory auditor of the respective Petitioner Companies certifying that the accounting treatment in the Scheme is in conformity with the accounting standards in terms of Section 133 of the Companies Act, 2013 is on record.

9. The observations made by the Regional Director and the Official Liquidator have been explained by the Petitioner Companies by written submission dated 05.05.2022. The Petitioner Companies through written submission submits as follow : -

   A) That presently the investigation or inquiry is completed against the Petitioner Companies and the matter is now pending before the Hon'ble Special Judge (Companies Act) Dwarka Court, New Delhi. Further, it is also submitted that the certain actions qua the investigation report, initiated by the SFIO have been challenged and are pending adjudication before the Hon'ble Supreme Court.

   B) In the matter of ***Brooke Bond Lipton India Ltd. V. State of Assam,*** before Hon'ble High Court of Gauhati (MANU/GH/0578/2004:2004(3) GLT 444), it was held that:

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(i) A criminal proceeding shall not abate ipso facto on merger or amalgamation of a company.

(ii) The question against whom the prosecution would continue shall depend upon the terms and conditions of merger/ amalgamation;

(iii) A pending criminal prosecution cannot be thrown overboard by subsequent dissolution/ amalgamation or merger or merger of a firm We, therefore, hold that the petitioner company is not entitled to the benefit of abatement of proceedings against it on the ground of the Amalgamation.

C) That Hon'ble ***Gujrat High Court in Re: C.M. Smith and Sons Ltd., 2008 SCC Online Guj 249: (2008) 146Comp Case 359: (2009)88 CLA 137,*** held that criminal prosecution/ legal proceedings, if any are initiated against any of the transferee companies or the directors of any of the transferor companies, the order sanctioning the scheme of amalgamation of the companies with the transferee company shall not come in the way of such proceedings. The fact of amalgamation shall not give any immunity for such past deeds.

10. We have heard the counsels for the petitioner companies and also considered the representation made by the Regional Director, (NR) and Official Liquidator. From the material on record and after perusing the clarifications and submissions of the Petitioner Companies to the Report and the Report of the OL, the Scheme appears to be fair and reasonable and does not violate any provisions of law and is not contrary to public policy.

11. Further, we find that the para 13.1 and 13.2 of the proposed Scheme of Amalgamation provides that if any legal proceedings and investigation or inquiry are pending against the Transferor Companies

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No. 1 to 19 then it shall not abated or discontinued but the proceedings may be continued, prosecuted and enforced by or against the Transferee Company in the same manner and to the same extent as it would or might have been continued, prosecuted and enforced by or against the transferor Companies No. 1 to 19 as if the scheme had not been made. Para 13.1 and 13.2 of the scheme of amalgamation is reproduced herein in verbatim:-

"13.1. If any suit, writ petition, appeal, revision or other proceedings of whatsoever nature (hereinafter called "the Proceedings") by or against the Transferor Companies No. 1 to 19 is pending, the same shall not abate, be discontinued or be in any way prejudicially affected by reason of the transfer of the Business of the Transferor Companies No.1 to 19 or because of anything contained in the scheme, but the proceedings may be continued, prosecuted and enforced by or against the Transferee Company in the same manner and to the same extent as it would or might have been continued, prosecuted and enforced by or against the Transferor Companies No.1 to 19 as if the Scheme had not be made. On and from the scheme coming into effect, the Transferee Company shall and may, if required, initiate any legal proceedings for and on behalf of the Transferor Companies No. 1 to 19.

13.2. That investigation or proceedings under section 206 to 229 of the Companies Act, 2013 are pending against the Transferor Companies No. 1 to 19 and Transferee Company involved in the present scheme of amalgamation with Serious Fraud Investigation Office. The investigation or proceedings of the Transferor Companies No.1 to 19 shall not abate, be discontinued or be in any way prejudicially affected by reason of the transfer of the Business of the Transferor Companies No.1 to 19 or because of anything contained in the scheme, but the proceedings may be continued, prosecuted and enforced by or against the Transferee Company in the same manner and to the same extent as it would or might have been continued, prosecuted and enforced by or against the Transferor Company in the same manner and to the same extent as it would or might have been continues, prosecuted and enforced by or against the Transferor Companies No.1 to 19 as if he scheme had not been made."

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12. In view of the foregoing submissions and categorical rulings, and upon considering the approval accorded by the members and creditors of all the petitioner companies to the proposed Scheme, and the submissions of the Regional Director, Northern Region, Official Liquidator there appears to be no impediment in granting sanction to the scheme and scheme appears to be fair and reasonable and is not contrary to the public.

13. Consequently, the sanction is hereby granted to the Scheme of Amalgamation under sections 230-232 of the Companies Act, 2013 and the Company (Compromises, Arrangements and Amalgamations) Rules, 2016. The sanctioned Scheme of amalgamation shall be binding on all the petitioner companies and on all their respective shareholders and creditors.

14. The Petitioner Companies shall also be bound to comply with the statutory requirements in accordance with law. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this court to the scheme will not come in the way of action being taken, albeit, in accordance with law, against the concerned persons, directors and officials of both the petitioner companies.

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15. While approving the Scheme as above, we further clarify that the scheme of amalgamation is considered by this bench on its merits without diluting the proposed legal action by the SFIO, Ministry of Corporate Affairs or any other competent authority. Further, the present order of sanctioning the scheme of amalgamation will not give any immunity for past deeds of the transferee companies or their directors or officers either in their official or personal capacity as the case may be and hence the proceedings that are initiated or may be initiated under the provisions of this Act or any other law for the time being in force would not be effected by the present order of sanctioning the scheme of amalgamation.

16. This order should not be construed as an order in any way granting exemption from payment of stamp duty, Statutory dues or any other charges, if any, and payment in accordance with law or in respect to any permission/ compliance with any other requirement which may be specifically required under any law.

17. This tribunal further order that upon scheme of Amalgamation coming into effect;

a) That Transferor Companies shall stand automatically dissolved without being wound up and without any requirement of any further act or deed by the parties in accordance with the Act;

b) All the assets and liabilities including taxes and charges, if any and duties of the Transferor Company, shall pursuant to section 232 of the Companies Act, 2013, be transferred to and become the liabilities and duties of the Transferee Company.

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c) Upon the scheme taking effect and after dissolution of the Transferor Companies No.1 to 19, the Board of Directors of the Transferee Company are hereby authorise to take steps as may be necessary desirable or proper to resolve any questions, doubts or difficulty whether by reason of any directive, order or sanction if National Company Law Tribunal or other concerned/ competent authority (ies) or otherwise arising out of or under this Scheme or any manner therewith.

18. The Petitioner Companies shall within thirty days of the date of the receipt of this order cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered, the Registrar of Companies shall place all documents relating to the transferor companies and registered with them and shall consolidate the files of the companies, is accordingly duly approved and sanctioned in terms of the above.

19. The Petitioner Companies are directed to lodge a certified copy of this order along with the sanctioned Scheme, attached thereto, with the SFIO, District & Session Judge, Dwarka, NCLT, New Delhi and other concerned tribunal/ court/ authorities where the petitioner companies are parties or subject to any investigation or inquiry. Moreover, the Transferee Company shall ensure that necessary application for impleading the Transferee Company as party in all the pending legal proceedings pursuant to the scheme of Amalgamation be file before the concerned Court/Tribunal within thirty days of the date of the receipt of this order and the copy of the same shall be placed before this

Tribunal. The Regional Director, Northern Region, Delhi may observe the compliances of the same.

20. Any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

The petition stands disposed of in the above terms.

Let copy of the order be served to the parties.

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(SUMITA PURKAYASTHA)
MEMBER (T)

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(DHARMINDER SINGH)
MEMBER (J)